

unified_trading_framework.md

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Summary

This document outlines a sophisticated trading methodology that prioritizes **volume-driven market structure** to distinguish between genuine price conviction and hollow noise. By calculating relative volume spikes and “Net Force,” the system identifies **aggressive participation** versus low-conviction zones, allowing traders to detect when major players are actually committing to a move. The framework utilizes **dynamic structural levels**, such as “The Wall” and volatility-adjusted pivots, to establish firm barriers where price is likely to stall or break out. Ultimately, the strategy aims to provide an **operational execution trigger** by filtering out market “wobble” and ensuring trades are only taken when high-volume aggression aligns with structural shifts.

Keywords: Volume Intensity, Dynamic Structural Levels, Volatility Trend Logic, Operational Strategy, Data Integration Requirements

Content

Unified Framework: Volume-Driven Market Structure This document defines the core formulas and logical interpretations for the trading indicator suite. This is designed for use by a coding/trading agent to parse market data and identify trade opportunities based on participation (raiding party) and structural resistance (the “Wall”).

1. Volume Intensity & Conviction
Formulas
Volume Percent (Relative Volume): $V_{\text{pct}} = \frac{\text{Bubble Size (Volume Spike)}}{\text{Volume}}$
(where P^{} is the input period)**
Interpretation
 $V_{\text{pct}} > 0.8$: Aggressive participation. High conviction.
 $0.8 < V_{\text{pct}} < 1.2$: Low conviction (“Thin Air”). Trade with caution.
Bubble Size:
Quantifies the magnitude of the volume spike relative to long-term (100) and short-term (10) averages.

2. Dynamic Structural Levels
Formulas
Net Force (netF): $U_F = V_{sc} \text{ (close > VWAP ?)}$

1.5 : 1.0) bodyPC D_F = V sc (close < VWAP ? 1.5 : 1.0) bodyPC netF = SMA(U_F, L) - SMA(D_F, L)Dynamic Pivot Point: Pivot = SMA(BasePrice, L) + (NormalizedForce Close VolatilityScore)InterpretationPositive netF: Bullish dominance.Negative netF: Bearish dominance.Pivot Direction: Rising pivot lines indicate expanding structural support/resistance. Falling pivot lines indicate structural decay.

3. Volatility & Trend Logic (AVT)FormulasBaseline (EVWMA): Baseline = Volatility (Spread): Spread = RMA(TrueRange, Len)Bands: Band = Baseline (Spread Multiplier)InterpretationTrend Lock: Trend flips only on a close outside the opposite band. This filters out “wobble” (noise).Flip Signal: The bar where price crosses the band is the execution trigger.”The Wall”: High-volume historical levels (Bubble Lines) acting as barriers near current price.

4. Operational StrategyAbsorption: Price approaches a Bubble Line or Dynamic Pivot and stalls (volume decreases).Aggression: Volume spike (V_{pct}) coinciding with an Active Ray creation.Void Analysis: High price movement with $V_{\text{pct}} < 0.8$ represents a low-conviction environment. Avoid.

Data Integration RequirementsInput Data: Upstox instrument_key (for real-time streaming).Rolling Window: Use a buffer to store the last N periods for SMA/RMA calculations.MTF Sync: Ensure request.security fetches data from HTF (Higher Timeframe) to validate S/R DOTs.